



MIT SLOAN SCHOOL OF MANAGEMENT
MIT SCHWARZMAN COLLEGE OF COMPUTING



MODULE 1 UNIT 1
Lesson Video 3 Transcript

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PAUL MCDONAGH-SMITH: We've covered what agentic AI is, and we've looked under the hood at how a large language model becomes agentic. Now comes the question that needs to be front of mind for every business leader in our program. So what? What does this actually mean for how we run organizations, how we compete, and how we create value.

Because the technology is only useful if it changes something that matters to you, and I believe it does in ways that go well beyond the efficiency gains that tend to dominate the headlines. Let's start with the most direct impact.

Impact on business performance

PAUL MCDONAGH-SMITH: Agentic AI has the potential to fundamentally alter the economics of knowledge work, not because it replaces people, but because it changes the ratio between human attention and organizational throughput.

Consider a product development team. Today, a team of ten might generate a hundred concepts in a sprint. With agentic workflows, agents that can research, prototype, test assumptions, and surface the most promising ideas, that same team might evaluate a thousand. The human role shifts from production to curation, from generating options to exercising judgement. That's not a marginal gain, it's a structural change in how value gets created.

We see similar dynamics in customer operations. Practitioners working at the frontier of enterprise AI adoption report that the most successful early deployments aren't the ones chasing full automation. They're the ones that started with focused, bounded use cases. An intelligent virtual agent that can actually resolve a customer inquiry end to end. A compliance monitoring agent that flags anomalies in real time and then expanded from that foothold. The pattern is consistent. Start with a use case where the workflow is clear, the data is accessible, and the value is measurable, and then iterate. However, performance improvement is only the first layer. The deeper implication is structural.

Rethinking the operational model

PAUL MCDONAGH-SMITH: Agentic AI invites you to reconsider the boundaries of your operating model. Where do tasks begin and end? Who or what is responsible for each step? How do you define accountability when a process is partly human and partly agentic or autonomous?

Here's an analogy that I find useful. When cloud computing emerged, the initial conversation was about cost savings, moving servers off premises. But the real transformation was architectural. Cloud didn't just change where computing happened, it changed what was possible to build. Entire business models emerged that simply couldn't have existed on legacy infrastructure.

Agentic AI is on one dimension following a somewhat similar trajectory. The initial conversation might well be about productivity. Agents that draft emails faster, summarize reports, automate routine tasks and workflows. But the strategic conversation, the one you'll be having, is also about redesigning workflows from the ground up. Not how do we add AI to our existing process, but instead, if we were designing this process today with agentic capabilities available, what would it look like? This is a fundamentally different question, and it requires a fundamentally different kind of leadership and management.

Adoption consideration

PAUL MCDONAGH-SMITH: Let me surface three adoption realities that I think are critical for all of us today. First, speed of iteration matters more than perfection of plan. The technology landscape is moving so fast that a six-month evaluation cycle is itself a form of risk. Practitioners at the frontier report that from concept to minimum viable product, the cycle might be measured in weeks, not quarters. Now that doesn't mean recklessness. It means building a culture of rapid prototyping, fast feedback, and disciplined learning. Get something working. Test it with a small group. Learn. Iterate. The organizations that will lead in this space are the ones that can execute that loop faster than their competitors.

And then second, the biggest barriers are organizational, not technical. Enterprise AI adoption consistently stalls, not because the models are inadequate, but because organizations are siloed, incentives are misaligned, and the change management required to integrate AI into core workflows is underestimated. Going from an AI first strategy where you prioritise AI in your plans to an AI native organization where your people think and act with AI as a default is a profound cultural shift, and it requires investment in capability building at every level, not just in the data science or the R&D or the IT teams.

Then thirdly, we need to consider new metrics of value. Legacy KPIs we use to measure productivity, quality and efficiency may not capture the value that agentic systems create. When an agent generates a thousand product concepts instead of a hundred or ten, the value isn't in the volume, it's in the quality of the curation that follows. We need to evolve our measurement frameworks to match the new forms of value these systems make possible.

Agentic AI is a leadership opportunity

PAUL MCDONAGH-SMITH: Agentic AI isn't only a technology initiative, it's a leadership opportunity. The technology will keep advancing, that's virtually certain. The question is whether your organization, whether your people, and your operating models are ready to absorb and direct that capability.

This means investing in experimentation, not just evaluation. It means redesigning workflows, not only automating them. And it means developing a leadership vocabulary for AI that is as rigorous as the one you have for finance, for strategy, for talent.

As we move forward, we'll go deeper into the building blocks, the workflows, and the real-world frontiers. But as you move through this module, I'd encourage you to start with one question. In my organization, where is a high value workflow that is still entirely human driven, and what would an agentic version of that workflow make possible? That question is your starting point. Let's build from there.

SPEAKER: Did you understand all the concepts covered in this video? If you'd like to review any of the content, please click on the chapter menu.